WRW

ISSUE 04
13 NOV 2026

FRANCHISE ENTRY REPORT

Denmark

Where the opportunity is, what blocks it, and what to do in the first 90 days.

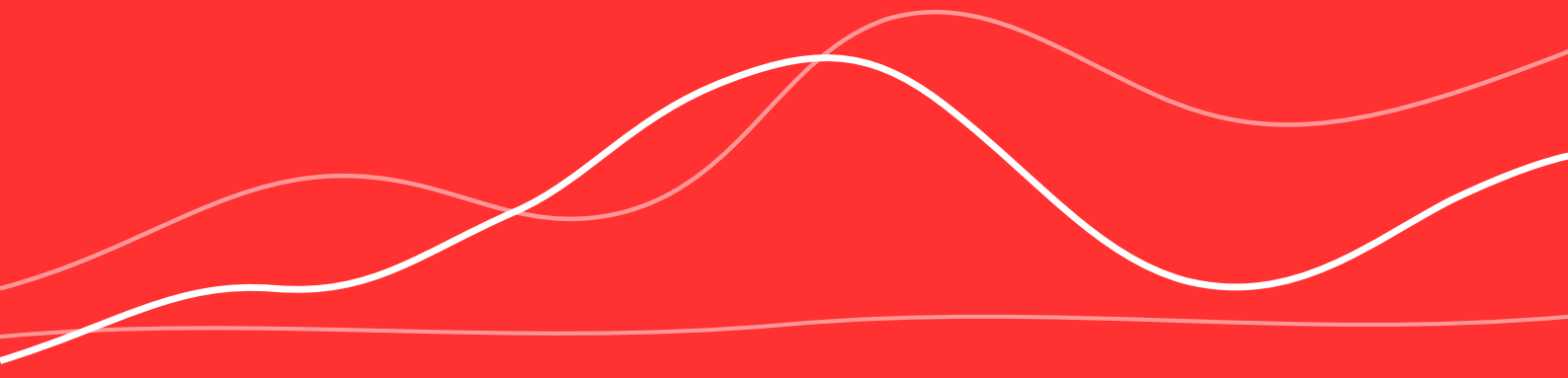
THE VERDICT

Open on paper, costly in practice. Burgers are growing and international pizza has failed, so the window is burger and chicken in Copenhagen while KFC rebuilds, through one strong Nordic operator.

6.04m
people, a third of them in the Capital Region

+42%
restaurant and hotel prices above the EU average, 2025

25%
VAT on eating in and takeaway alike



Rich and eating out, but restaurant prices sit 42% above the EU

Denmark is rich and small. Spending on eating out is still rising, but consumer confidence fell sharply in October.

Population

6.04m

6,038,638 on 1 Sep 2026, up 0.45% in a year (Estimate). The Capital Region holds 32.3% (Estimate), so entry means Copenhagen first.

Statistics Denmark [S1]

GDP per head

€69,550

2025, about 167% of the EU27 average of €41,770 (Estimate: simple division). About £58,200 at 23 Oct 2026 rates (Estimate).

Eurostat [S2] · Nationalbanken [S3]

Food-service spend

DKK 85.7bn

Household spend on restaurants and hotels, 2025. Up 6.6% in value and 2.8% in volume (Estimate). About £9.6bn. Restaurants alone turned over DKK 60.7bn in 2024.

Statistics Denmark [S4, S5]

Franchise count

Not found

There is no official count. The franchise association publishes no system or outlet total we could find.

Searched: Dansk Franchise Forening; Chambers 2025 [S6]

Consumer spending

+2.7%

Real household consumption, Q2 2026 on a year earlier (Estimate). Confidence fell to −17.2 in October, from −13.7. Restaurant and hotel prices rose 5.2% in the year to September, against 2.2% overall.

Statistics Denmark [S7, S8, S9]

Currency

£1 = DKK 8.93

€1 = DKK 7.47 on 23 Oct 2026. The policy rate rose to 2.10% on 10 Sep, in step with the ECB. The ECB decides next on 29 Oct.

Nationalbanken [S3, S10] · ECB [S11]

How Denmark eats out

HORESTA's 2023 survey is the newest edition found.

Visits a year

88

per person in 2023, about 1.7 a week, down from 90. People in their 20s go 143 times; over-65s 39. In Nov 2025, 70% had eaten out in the past month.

HORESTA with Kantar Gallup [S12] · Voxmeter for L&F [S13]

Price level, EU = 100

142

Restaurant and hotel prices, 2025, down from 153.6 in 2023. About 15% above Sweden (Estimate: ratio of the indices).



Eurostat prc_ppp_ind_1, 9 Jul 2026 [S14]

Capital Region

49.9%

of restaurant turnover in 2023, against 32.3% of residents. Copenhageners eat out 126 times a year.

HORESTA [S12] · Statistics Denmark [S1]

So what?

Margins are thin. Restaurants kept 5.9% operating profit in 2024 (Estimate) and spent 37% of turnover on staff. Only 6% of people who ate dinner the day before had a takeaway. A lean, high-volume model fits; a labour-heavy seated one does not. [S5, S15, S12]

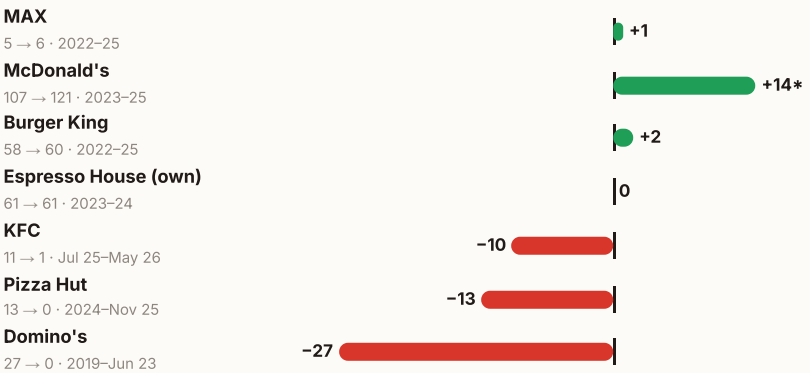
Burgers are growing, pizza chains have gone, and chicken is starting again

Ten categories, from company reports, press and official data. Counts are company or press figures, not our own locator counts.

CATEGORY	DIRECTION	EVIDENCE	SOURCE · WINDOW	CONFIDENCE	SATURATION	ENTRY
Chicken	Mixed	KFC had 11 sites when its franchisee went bankrupt in Jul 2025, all closed after a DR hygiene exposé. Nordic Service Partners announced a return on 9 Apr 2026 and reopened Field's in late May. A second site was reported in Aug (Thin). No Popeyes or Wingstop found.	S16, S17, S18, S19 Jul 2025 → Aug 2026	Medium	Low	Medium
Burger	↑ Rising	McDonald's: 107 (Estimate) to 113 sites at end 2024 and 121 at end 2025. Burger King: 58 planned by end 2022, 60th site in May 2025. MAX: 5 to 6. Five Guys opened 2 Copenhagen sites in 2026. Sunset Boulevard claims 47 (brand claim).	S20, S21, S22, S23, S24, S25, S26, S27, S28, S29 2022 → 2026	High	High	High
Pizza	↓ Falling	Domino's closed all 27 stores from Jun 2023, citing a small market that had not improved. Pizza Hut returned in 2024 and went bankrupt on 27 Nov 2025, closing 13 restaurants. No international pizza chain found trading now.	S30, S31, S32, S33 Jun 2023 → Nov 2025	High	Low	High
Kebab / grill	Not found	No national chain with a published count. Roll 'n Eat lists 2 sites on Wolt, a listing, not a count. No German Doner Kebab found.	S34 Oct 2026	Thin	Not found	Thin
Coffee	→ Flat	Espresso House: 61 company shops at end 2023; 61 plus 11 franchised at end 2024. Danish staff fell from 995 (2022) to 735 (2024). Starbucks had 17 stores under Salling Group (the source also says 18) before Berjaya took the licence in Aug 2024.	S35, S36, S37 2022 → 2024	Thin	High	High
Bakery / dessert	↑ Rising	Lagkagehuset had 108 Danish bakery-cafés in May 2025, 25 inside Meny. 2025 revenue rose 8.2% on six new stores, but it lost DKK 76.8m. Up to 10 openings planned for 2026. Dessert chains: Not found.	S38, S39, S40 May 2025 → Jun 2026	Medium	High	Medium
Bubble tea	Not found	We searched for Gong Cha, Mixue, Chatime and Bubbleology. No international chain and no dated count. Independents only.	Searched 28 Oct 2026 Oct 2026	Thin	Low	Thin
Fast casual	↑ Rising	Taco Bell's first site is due at Fisketorvet in autumn 2026, and a job posting points to more in 2027. Joe & The Juice claims more than 70 Danish stores (undated brand claim) and targets 1,000 worldwide by 2028. One brand's signals only.	S41, S42, S43, S44 2026 → 2027	Thin	Medium	Medium
Plant-based	Not found	No plant-based chain found. The only dated signal is McDonald's McPlant test in 14 restaurants in 2021, too old to read a direction.	S45 2021	Thin	Not found	Thin
Sushi local category	↓ Falling	Sticks'n'Sushi had 12 Danish sites in Jan 2024 and 12 in Jul 2026; its growth is abroad. Letz Sushi closed on 6 Feb 2024 after years of losses, affecting 223 staff. Karma Sushi and Vaca went bankrupt in 2020.	S46, S47, S48, S49 Jan 2024 → Jul 2026	Medium	Medium	Medium

Units in Denmark, then and now

Change in units from the first count to the latest. Company reports and press, not our own locator counts. McDonald's 2023 figure is an Estimate.



Sources: MAX [S24, S25]; McDonald's [S20, S21]; Burger King [S22, S23]; Espresso House [S35, S36]; KFC [S16, S18]; Pizza Hut [S32, S33]; Domino's [S30, S31].

READING THE TABLE

What it means

1. Burgers are the one category clearly growing. McDonald's added **14 sites in two years**, and Five Guys arrived in 2026. [S20, S21, S26]

2. International pizza has **failed twice since 2023**. Domino's left, then Pizza Hut went bankrupt. [S30, S33]

3. Chicken is **starting again from almost zero**. KFC lost all 11 sites in 2025 and is back through the operator that runs 24 KFCs in Sweden. [S16, S17]

The gap is chicken and sharply priced burgers in Copenhagen

Three gaps the evidence supports, and one marked Thin. Size is our judgement.

1 Chicken, while KFC restarts

GAP	KFC went from 11 sites to none in 2025 and is rebuilding from one or two. No Popeyes or Wingstop found.
EVIDENCE	Exit Jul 2025; return through Nordic Service Partners, 3 sites planned for 2026. [S16, S17, S18]
SUITS	A proven chicken brand
ROUTE	Master franchise to a Nordic multi-unit operator

M **Window:** a window of one to two years while KFC rebuilds (judgement)

2 Value burger in Copenhagen

GAP	Burgers are growing at high prices, and confidence is falling. A sharply priced burger has room.
EVIDENCE	McDonald's 113 → 121; Five Guys entry 2026; price level 142; confidence −17.2. [S20, S21, S14, S8]
SUITS	Brands with a lean, high-volume model
ROUTE	Master or area franchise

L the largest growing category, and the most crowded

3 A second bakery-café

GAP	Lagkagehuset is growing but still loses money. No second chain was found.
EVIDENCE	108 Danish sites; revenue +8.2%; net loss DKK 76.8m in 2025. [S38, S39, S40]
SUITS	Bakery-cafés with a tight cost model
ROUTE	Master franchise or a retail partnership

M faces a 108-site leader

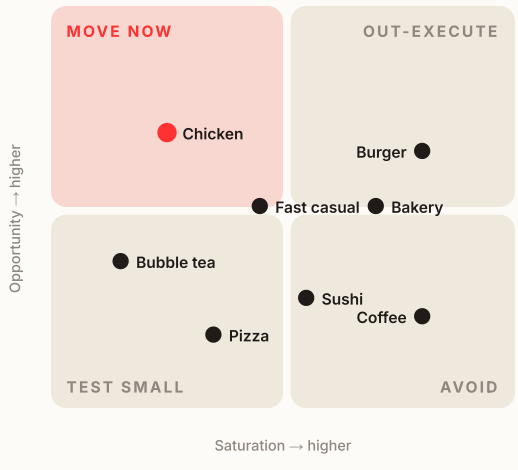
4 Bubble tea

GAP	No international bubble tea chain found.
EVIDENCE	Searches for four chains found none. Demand data: Not found.
SUITS	A small-format brand willing to test
ROUTE	One test site

S demand untested *Thin evidence*

Opportunity vs saturation

Our reading of the page 3 evidence. Position is judgement, not measurement.



Kebab and plant-based are left off: no data to place them. Source: WRW Hospitality analysis.

IF I HAD A BRAND

“

If I had a brand, I would bring chicken to Copenhagen while KFC rebuilds, through one Nordic operator.

KFC lost all 11 sites in 2025 and is coming back from one or two. Pizza has failed twice since 2023, and burgers are crowded at the top. That leaves chicken as the clearest gap, for a year or two at most.

I would not go in with one local franchisee. KFC did, and lost every site when that franchisee failed. I would pick an operator already running a global brand in the Nordics, price for 25% VAT and about DKK 206 an hour all-in, and write hygiene audits into the deal from day one.

Wesley Williams, WRW Hospitality

Easy to set up, costly to staff, and no takeaway VAT break

Denmark is quick to enter and expensive to run. This page is not legal, tax or investment advice.

AREA	CURRENT POSITION (VERIFIED OCT 2026)	SOURCE
Franchise law	**No disclosure law.** No statute forces a franchisor to disclose before or after signing. Good faith still applies, and misrepresentation can void the deal.	S6
Trade mark	DKPTO: DKK 2,400 including one class, DKK 240 for the first extra class, DKK 720 for each further one. A decision usually takes 4 to 6 weeks. **An EU trade mark covers Denmark;** a UK mark does not.	S50, S51, S52
Food safety	Register with Fødevarestyrelsen before opening. **The smiley at the door shows the last 3 inspections.** Each site pays an annual campaign fee from DKK 583, indexed.	S53, S54, S55
Alcohol	Licence from the municipal board, applied for through the police, for up to 8 years. **Restaurants close 24:00 to 05:00** without an extended-hours permit. Fees: Not found.	S56
Halal	**Stunning is compulsory.** Ritual slaughter is allowed only with prior stunning, in a slaughterhouse. Rules on importing meat from unstunned slaughter: Not found.	S57
Tax	**VAT is 25% on eating in and takeaway alike.** Corporate tax is 22%. Royalty withholding is 22%, or 0% to a UK beneficial owner under the treaty.	S58, S59, S60, S61
Company set-up	An ApS needs DKK 20,000 capital (DKK 40,000 before 27 Feb 2025) and a DKK 670 fee. No nationality or residence rule for founders.	S62, S63, S64

VAT

25%

One rate for eating in and takeaway. No reduced rate for food. [S58, S59]

Royalty withholding

0%

To a UK franchisor under the treaty, against 22% without it. [S60]

Company capital

DKK 20,000

ApS share capital, plus a DKK 670 registration fee. [S62, S63]

THE WAGE ENGINE

The wage engine

What every DKK 100 of pay costs the employer



- Pay 100.00
- Holiday pay and supplement 22.35
- Employer pension 11.00 (Thin)
- Statutory costs 5.60

Total ≈ ≈ DKK 138.95 (Estimate)

ESTIMATE Holiday pay 12.5% (Ferieloven) and special pay supplement 9.85% from 1 Mar 2026. Employer pension 11%, from a secondary source only (Thin). Statutory costs of about DKK 16,000 a year per full-time employee, or 5.6% of the floor's annual pay. All on base pay; adult day shifts; no evening, weekend, overtime or sick pay. Without the pension, about DKK 127.95. [S65, S66, S67, S68, S59, S69]

LEGAL WAGE FLOOR

DKK 148.49

Per hour, adult assistant (medhjælper), from 1 Mar 2026, HORESTA and 3F agreement. Rises DKK 3.50 on 1 Mar 2027. From a secondary page (Medium). The café agreement floor is DKK 160.93; under-18s DKK 88.96. [S70, S71, S66, S68]

ALL-IN FLOOR

≈ £23.11/hr

ESTIMATE DKK 148.49 × 1.3895 ≈ DKK 206.33 an hour, at £1 = DKK 8.9275 on 23 Oct 2026. The floor alone is £16.63. [S3, S70]

Not legal or tax advice. Not legal, tax or investment advice. Take local advice before you sign.

Enter through one strong Nordic operator, not one local franchisee

Brands that came in through regional partners lasted. KFC, with one local franchisee, lost every site. Area-developer examples: Not found.

ROUTE	YOUR CONTROL	YOUR CAPITAL	SPEED TO SCALE	SEEN IN DENMARK
Regional master franchise	Low	Low	Fast	Subway named Nordic Bites master franchisee for four Nordic countries on 20 May 2025. KFC returned through Nordic Service Partners. Burger King runs through master franchisee King Food Danmark (60th site, May 2025). [S72, S17, S23]
Licence through a retailer	Low	Low	Medium	Starbucks ran 17 stores through Salling Group, then moved the licence to Berjaya in Aug 2024. [S37]
Country franchisees	Medium	Low	Medium	McDonald's runs 112 of 113 sites through 24 franchisees. KFC's only franchisee ran 11 sites and went bankrupt in Jul 2025. [S20, S16]
Company-owned	High	High	Slow	Domino's bought 27 stores from receivership in 2019 for €2.5m and began closing them in Jun 2023. MAX owns all its sites and grew from 5 to 6. [S31, S24, S25]

UNDER 25 UNITS

A Nordic master partner

Choose an operator already running a global brand in the region. KFC's return and Subway's 2025 deal both went this way.

PROVEN IN 2+ COUNTRIES

Several country franchisees

Spread the risk. McDonald's uses 24 franchisees; KFC lost everything when its one franchisee failed.

CAPITAL TO SPARE

Own the first sites

Only with deep pockets. Domino's owned 27 stores and began closing them four years later.

Six risks

Six risks, each sourced

Hygiene

One DR documentary led to four sour smileys and closed all 11 KFC sites. Domino's earlier went into receivership after a TV exposé. [S16, S17, S31]

Demand

Confidence fell to −17.2 in October, and people expect unemployment to rise. Domino's left citing a small market. [S8, S31]

Margins

Restaurants made 5.9% operating profit in 2024 (Estimate). Lagkagehuset grew sales 8.2% and still lost DKK 76.8m. [S5, S39, S40]

Failures

Restaurant bankruptcies more than doubled in H1 2023, then fell 26% in Jan–Apr 2026. Restaurants were 11% of active-company bankruptcies in Jan–Sep 2025 but 5% of bankrupt turnover. October data out 5 Nov. [S73, S74, S75, S76]

Wages and hours

A floor of DKK 148.49 an hour plus about 39% on top (Estimate; 28% without the Thin pension). Restaurants close at midnight without a permit. [S70, S67, S56]

Same malls

Five Guys, KFC and Taco Bell all chose Field's or Fisketorvet. Our reading, not a measured fact. [S26, S17, S41]

The first 90 days: find the partner, then the site

1. **Pick the category** from page 3: burger and chicken have the evidence.
2. **Rebuild the unit P&L** at Danish wages, with about 39% on top of pay.
3. **Price at 25% VAT** for eating in and takeaway alike.
4. **Shortlist 3 to 5 Nordic multi-brand operators** as master partners.
5. **File an EU trade mark:** a UK mark does not cover Denmark.
6. **Walk Field's and Fisketorvet** before taking a site beside every 2026 entrant.
7. **Write hygiene audits into the agreement:** one smiley story can close a brand.
8. **Check closing hours** and whether your sites need an extended-hours permit.
9. **Check halal supply:** stunning is compulsory.
10. **Diary 1 Mar 2027:** the wage floor steps up again.

WHAT WE'D CHECK NEXT

- Does your partner already run a global brand in the Nordics?
- Does the P&L work at about DKK 206 an hour all-in?
- Does the price work at 25% VAT?
- Is your trade mark filed at EU level?
- Could every site pass a smiley inspection on day one?

METHOD

Public sources only, read 28 Oct 2026. Every figure is dated and coded to the list below. A rise or fall needs two independent signals; otherwise it is marked Thin. Estimates show their method. Missing data reads Not found. Unit counts are company reports, press or brand claims, not our own locator counts. One rate throughout: £1 = DKK 8.9275, 23 Oct 2026. Not legal, tax or investment advice.

Sources

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S1 S1 Statistics Denmark, FOLK1AM, population on the first day of the month, updated 9 Oct 2026
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S5 S5 Statistics Denmark, REGN10, accounts statistics, restaurants, 2022–2024
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Which country should we cover next?

Tell us in the comments. Follow WRW Hospitality for the next Franchise Entry Report, every Friday.

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